

Pearson Edexcel International GCSE

Predicted Paper — MODERATE

4EC1/01 Economics Level 1/2

PAPER 1: Microeconomics and Business Economics

Time: 1 hour 30 minutes

Total Marks: 80

You do not need any other materials. Calculators may be used.

Instructions

- Use black ink or ball-point pen.
- Answer all questions.
- Answer the questions in the spaces provided — there may be more space than you need.
- Calculators may be used.
- You are advised to show all your working out with your answer clearly identified at the end of your solution.

Information

- The total mark for this paper is 80.
- The marks for each question are shown in brackets — use this as a guide as to how much time to spend on each question.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box and then mark your new answer with a cross.

1 (a) Which one of the following values shows price inelastic demand? (1)

- ☐ A -0.3
- ☐ B -1
- ☐ C -1.5
- ☐ D Infinity

(b) A country has a minimum wage of \$8.50 per hour. If a worker works 40 hours in a week, the lowest weekly wage the worker can earn is (1)

- ☐ A \$8.50
- ☐ B \$170.00
- ☐ C \$340.00
- ☐ D \$680.00

(c) What is meant by the term free market economy? (2)

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(d) State one example of an occupation that is in the primary sector of an economy. (1)

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(e) Define the term consumer. (1)

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(f) Calculate, to two decimal places, the price elasticity of demand (PED) for a good if the price rises by 5% and the quantity demanded falls by 10%. You are advised to show your working. (2)

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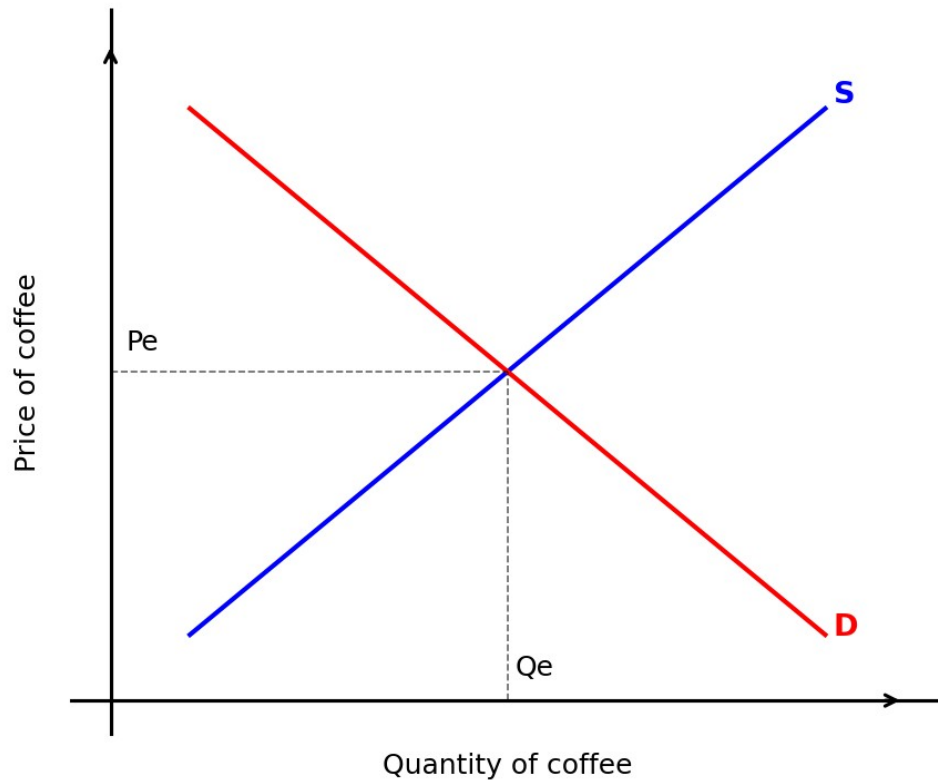
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(g) Figure 1 shows the market for coffee. Using the diagram below, draw the likely effects on the market for coffee if consumer incomes rise. Label the new curve, the new equilibrium price and the new equilibrium quantity. (3)



Ahmed has decided to purchase a new bicycle.

(h) Explain one possible opportunity cost for Ahmed of this decision. (3)

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Maria runs a small bakery in Lima, Peru. She currently employs two workers and is considering employing a third baker because demand has grown over the past year.

(i) With reference to the data above and your knowledge of economics, analyse two possible factors Maria should consider when deciding to employ a third baker. (6)

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(Total for Question 1 = 20 marks)

2 (a) Which one of the following diagrams shows excess demand? (1)

- ☐ **A** A diagram where price P_1 is set below equilibrium P_e and quantity demanded Q_2 exceeds quantity supplied Q_1
- ☐ **B** A diagram where price P_1 is set above equilibrium P_e and quantity supplied exceeds quantity demanded
- ☐ **C** A diagram showing a rightward shift of supply
- ☐ **D** A diagram showing a movement along the demand curve

(b) Which one of the following is a feature of perfect competition? (1)

- ☐ **A** A single firm dominates the market
- ☐ **B** Firms sell differentiated products
- ☐ **C** There are many small firms
- ☐ **D** There are high barriers to entry

(c) Calculate the percentage change in quantity demanded for a normal good if the income elasticity of demand (YED) is 0.8 and income rises by 15%. You are advised to show your working. (2)

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(d) What is meant by the term external costs? (2)

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(e) Describe one feature of monopolistic competition. (2)

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Kareem is the owner of a café and wants to maximise profits. However, Leila is the manager of the café and wants to increase the wages of the staff by 8%.

(f) Explain one reason why Leila may want to increase the wages rather than to maximise profits. (3)

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The government of Norway has offered subsidies to manufacturers and buyers of electric vehicles (EVs) for more than a decade. In 2023, around 82% of new cars sold in Norway were fully electric. However, the government spends significant sums each year on these subsidies, meaning less public money is available for other services.

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of government subsidies when encouraging consumption of merit goods such as electric vehicles. (9)

(Total for Question 2 = 20 marks)

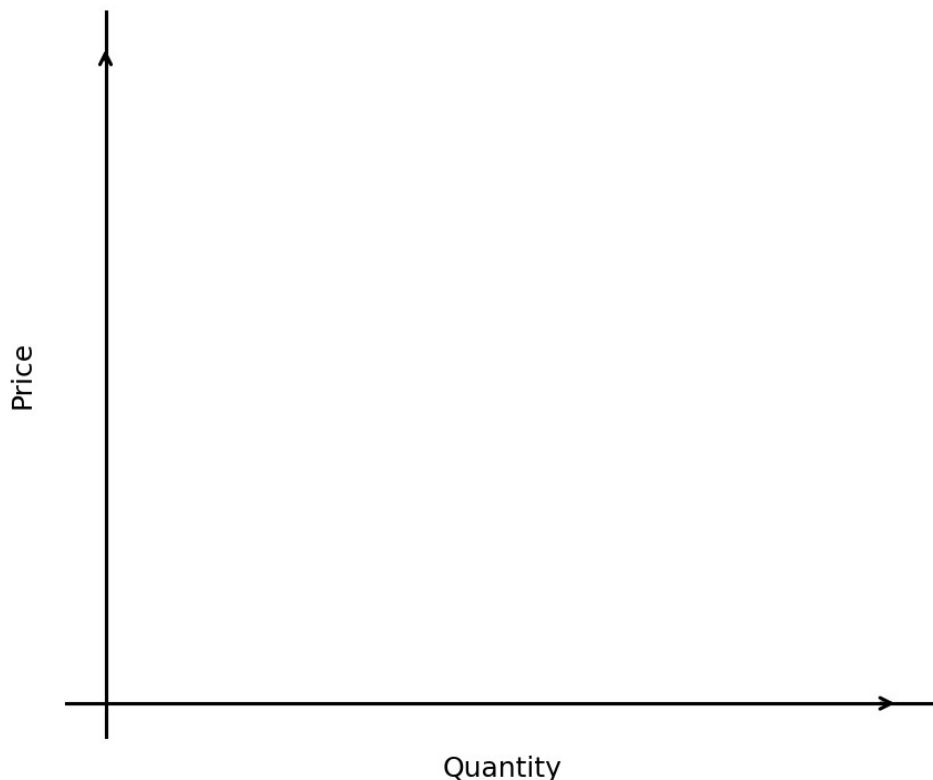
3 (a) An increase in which one of the following is most likely to cause an increase in the supply of labour? (1)

- ☐ **A** The school-leaving age
- ☐ **B** Net inward migration of workers
- ☐ **C** The income tax rate
- ☐ **D** The retirement age being lowered

(b) Which one of the following is the formula to calculate profit? (1)

- ☐ **A** Total revenue + total costs
- ☐ **B** Total revenue – total costs
- ☐ **C** Price × quantity sold
- ☐ **D** Total revenue ÷ total costs

(c) Using the diagram below, draw a price inelastic supply (PES) curve. Label the curve and show the impact on both axes from a change in price. (3)



Café Primo operates over 200 coffee shops in Brazil. Each shop employs a team of baristas, cashiers and cleaners, with each worker focused on their specific task. The chain is expanding rapidly and plans to open 40 new branches in the next two years.

(d) With reference to the data above and your knowledge of economics, analyse the possible advantages for Café Primo of using specialisation at its coffee shops. (6)

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Cigarettes are addictive, with limited close substitutes available. Smartphones, by contrast, are sold by many competing brands such as Apple, Samsung and Xiaomi, and consumers often switch between them when prices change. Both products are sold globally.

(e) With reference to the data above and your knowledge of economics, assess whether demand is likely to be more price inelastic for cigarettes than for smartphones. (9)

(Total for Question 3 = 20 marks)

4 Figure 2 shows the monthly costs of running a small clothing factory.

Factory rent (\$ per month)	Raw material cost (\$ per unit)	Units produced	Other fixed costs (\$ per month)
2,000	4.50	1,500	800

Figure 2

(a) Calculate the monthly total costs of the clothing factory. You are advised to show your working. (2)

Zara is one of the largest fast-fashion retailers in the world, with over 2,000 stores across 96 countries. It produces large quantities of clothing each season and uses centralised distribution centres in Spain. By operating at such a large scale, Zara has managed to keep average costs per garment relatively low.

(b) With reference to the data above and your knowledge of economics, analyse how internal economies of scale may lead to benefits for Zara. (6)

[illegible]

The government of Bolivia is considering nationalising its largest private water supply company. Supporters argue that nationalisation would allow water to be supplied at lower prices to poorer households and would end recent complaints about supply interruptions. Critics argue that the government lacks the resources and expertise to run the company efficiently, and that quality may decline.

(c) With reference to the data above and your knowledge of economics, evaluate whether consumers are likely to benefit from the nationalisation of the water supply company. (12)

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(Total for Question 4 = 20 marks)

TOTAL FOR PAPER = 80 MARKS